

Mark Scheme (Results)

Predicted Paper (ADVANCED)

Pearson Edexcel Level 3 Advanced GCE
in Economics B (9EB0)
Paper 01 Markets and how they work

General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the candidate's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, the team leader must be consulted.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Section A

Question Number		Mark
1 (a)	Knowledge/Understanding 1, Application 3 Knowledge/Understanding: 1 mark for formula $\text{Operating profit margin} = (\text{Operating profit} \div \text{Revenue}) \times 100$ (1) Application: Up to 3 marks for calculations $\text{Operating profit} = £223\text{m}; \text{Revenue} = £2,420\text{m}$ (1) $(223 \div 2,420) \times 100$ (1) $= 9.21\%$ (1) NB if no working is shown: 9.21% = 4 marks; 9.21 = 3 marks.	(4)

Question Number		Mark
1 (b)	Knowledge/Understanding 1, Application 3 Knowledge/Understanding: 1 mark for formula $((\text{Current price} - \text{Original price}) \div \text{Original price}) \times 100$ (1) Application: Up to 3 marks for calculations $\text{Difference} = 47,920 - 43,850 = 4,070$ (1) $4,070 \div 43,850$ (1) $= 9.28\%$ (1) NB if no working is shown: 9.28% = 4 marks; 9.28 = 3 marks.	(4)

Question Number		Mark
1 (c)	Knowledge/Understanding 2, Application 1, Analysis 1 Knowledge/Understanding: up to 2 marks for - correctly constructing supply and demand curves and labelling axes with price and quantity (1) - showing original equilibrium P_1 and Q_1 (1). Application: 1 mark for correctly interpreting the shift in supply to the RIGHT (new Chinese entrants BYD, MG, Ora added to UK supply). Analysis: 1 mark for showing new equilibrium P_2 lower and Q_2 higher — consistent with the price falls in Extract D.	(4)

Question Number		Mark
	<i>Accept alternative interpretation where demand is argued to shift (e.g. ZEV mandate) provided reasoning is coherent and shifts are labelled.</i>	

Question Number		Mark
1 (d)	Knowledge/Understanding 2, Application 2, Analysis 2 Knowledge/Understanding: up to 2 marks for • Identification of market structure — Oligopoly (1) • Identification of a valid pricing strategy (1), e.g. price leadership, premium pricing, penetration pricing Application: up to 2 marks for • Tesla, BMW, Audi and VW combined = 41.1% of UK BEV market (1) • Market structure is concentrated but challenged by new entrants like MG (8.0%) and BYD (3.9%) (1) Analysis: up to 2 marks for • Oligopolistic interdependence leads to price matching — Tesla's repeated price cuts in 2023 were followed by discounts from BMW and VW (1) • Premium pricing strategies are being eroded by Chinese low-cost entrants — incumbents must either cut prices or differentiate through brand and technology (1)	(6)

Question Number		Mark
1 (e)	Knowledge/Understanding 2, Application 2, Analysis 2, Evaluation 2 Indicative content Candidates do not need to include all of these: • Profit maximisation funds reinvestment in R&D — essential for capital-intensive EV manufacturing. Arrival's failure reflects inability to reach break-even. • For a start-up with cumulative losses of £1.4bn, profit (or at least break-even) is a survival imperative, not a strategic choice. • However, EV start-ups typically pursue market share maximisation first — building scale before seeking profit (Tesla followed this model before reaching profitability in 2020). • Growth maximisation may be necessary to achieve economies of scale — the industry exhibits large minimum efficient scale. • Revenue maximisation may be preferred to signal market traction to investors — important when external capital is the main source of funding. • Mission-driven objectives — decarbonisation and reimagining commercial vehicles — may support broader stakeholder goals and attract ESG-focused capital.	(8)

Question Number		Mark
	- Satisficing may be more realistic — balancing acceptable profit with growth, sustainability and employee retention. - Survival dominates the short run — Arrival's administration illustrates that without profit or access to capital, firms cannot continue. - Long-run profit maximisation (via brand building and economies of scale) may be more appropriate than short-run profit maximisation. - Shareholder pressure — publicly listed start-ups face conflicting pressures between growth metrics (revenue, deliveries) and profit margins.	
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6–8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Demonstrating application (AO2) in responses: Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Question Number		Mark
1 (f)	Knowledge/Understanding 2, Application 2, Analysis 3, Evaluation 3 Indicative content - Average new BEV prices fell 9.28% from Q1 2020 to Q4 2023; steeper falls since Q3 2023 suggest recent aggressive discounting. - Falling prices benefit consumers — more affordable EVs accelerate mass-market adoption. Consumer surplus rises. - Lower prices make EVs competitive with ICE alternatives — essential for meeting the 22% ZEV quota without major subsidies. - However, manufacturer margins are squeezed — Ford and Vauxhall already report declining BEV margins. This could threaten long-run investment in new models. - Price cuts are partly strategic — Tesla's 2023 cuts aim to protect market share against Chinese entrants. Other manufacturers face a 'prisoners' dilemma' — either match the cuts or lose volume. - Impact on the used market — steep new-car price cuts depreciate existing BEVs, hurting 2021–22 buyers and affecting leasing residual values. - Firms with lower cost bases (Chinese manufacturers, Tesla's vertical integration) can withstand lower prices; others (legacy OEMs with higher unit costs) may struggle.	(10)

Question Number		Mark
	- Falling prices may reduce innovation incentives — firms with tight margins have less capital for R&D into next-generation batteries. - Evaluation — impact depends on whether price cuts are absorbed by efficiency gains (learning curve, battery cost declines) or by margin compression. - Evaluation — consumer benefit is offset where price cuts are fiscally driven (ZEV mandate forcing discounts) rather than productivity driven. - Evaluation — the time horizon matters. In the short run, consumers benefit; in the long run, if sustained margin compression causes exits, variety reduces and prices may recover.	
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–4	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	5–7	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, well developed with arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	8–10	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

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Question Number		Mark
1 (g)	Knowledge/Understanding 2, Application 2, Analysis 4, Evaluation 4 Indicative content - Non-price competition is significant in the UK BEV market — driving range, charging speed, software features (FSD / OTA updates), safety ratings and warranty terms differentiate products. - Brand and status — BMW, Audi and Tesla command premium prices through brand positioning, even where technical specifications are similar. - Charging networks — Tesla's Supercharger network is a powerful non-price differentiator; opening it to non-Teslas improves the broader market but reduces Tesla's edge. - Software and user experience — Tesla's integrated software is a form of non-price competition; legacy OEMs struggle to match this.	(12)

Question Number		Mark
	- Warranty and service — Hyundai/Kia's 7-year warranty is a significant non-price advantage. - Styling, interior quality and driving dynamics — traditional auto differentiators continue to matter for premium buyers. - Safety ratings (Euro NCAP) and reliability data — important especially for new Chinese entrants building brand credibility. - Evaluation — the rise of Chinese competition at the budget end is shifting competition back toward price — where non-price factors are relatively weak, the market becomes more contestable on price. - Regulatory considerations — ZEV mandate and environmental regulations create non-price factors (compliance, sustainability credentials) that matter in B2B sales. - Evaluation — the relative importance of non-price competition varies by segment: premium (BMW, Audi) is dominated by non-price factors; budget (MG, BYD) is more price-led. - Dealer networks and aftersales — barriers that Tesla and Chinese direct-to-consumer brands bypass but legacy OEMs rely on. - Overall: non-price competition is highly important but cannot fully offset price pressures in a maturing market with strong low-cost entrants.	

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	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, well developed with arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2) in responses: Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Question Number		Mark
1 (h)	Knowledge/Understanding 2, Application 2, Analysis 4, Evaluation 4 Indicative content Contestability requires freedom of entry and exit and low sunk costs. The UK BEV market exhibits mixed features.	(12)

Question Number		Mark
	- Evidence of contestability — successful entry by Tesla (16% share), Polestar, MG and BYD. Chinese entrants have rapidly gained share. - Evidence against contestability — Arrival's £1.4bn cumulative losses and 2024 administration show high sunk costs (factories, R&D) and near-impossible break-even for new entrants without scale. - Capital intensity — BEV manufacturing requires multi-billion-pound investment in battery factories (gigafactories) and R&D, creating significant barriers to entry. - Scale economies — minimum efficient scale is high; producers under ~300,000 units/year struggle to compete. - Regulatory barriers — type approval, safety testing, ZEV compliance obligations create costs that favour incumbents. - Brand barriers — established automakers have 50+ years of reputation; start-ups must invest heavily in marketing. - Distribution barriers — franchise dealer networks are costly to replicate; Tesla's direct-sales model was a major disruptor. - However, e-commerce and direct-to-consumer sales reduce distribution entry costs. - Battery technology is standardising (LFP, NMC), lowering technological barriers; Chinese OEMs leverage their EV supply chain expertise. - Evaluation — the market is contestable at the product/model level (manufacturers can enter with new models) but not at the OEM level (new standalone manufacturers face enormous sunk costs). - Regulatory push (ZEV mandate) accelerates demand, making entry more attractive — somewhat improving contestability. - Overall: the UK BEV market is only partially contestable — entry by established multinationals is viable, but new standalone start-ups face barriers that have proved fatal, as Arrival demonstrates.	

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Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, well developed with arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2) in responses: Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Section B

Question Number		Mark
2	Knowledge/Understanding 4, Application 4, Analysis 6, Evaluation 6 Indicative content - Abolishing the Plug-in Car Grant saved £300m/year in public spending — fiscal benefit (reduced government expenditure). - The ZEV mandate shifts cost from taxpayers to manufacturers (and implicitly consumers via higher prices) — a form of indirect subsidy without fiscal cost. - Mandate accelerates EV adoption — positive externalities from reduced emissions (lower health costs, meeting climate targets). - Domestic investment impact — Nissan Sunderland and Mini Oxford plants may benefit from guaranteed demand; supports UK manufacturing jobs. - Short-run consumer impact — ZEV mandate may force manufacturers to heavily discount EVs to meet 22% quota (as Extract D suggests), benefiting EV buyers. - However, ICE buyers may pay higher prices — manufacturers cross-subsidise by raising prices on petrol/diesel models. - Infrastructure gap — charging network remains uneven; weighted to London/SE; limits the effectiveness of the mandate and creates regional inequality. - Regressive impact — subsidies (BIK tax, Workplace Charging Scheme) benefit higher-income and company-car users disproportionately; second-hand EV buyers (lower income) gain only indirectly. - Manufacturer reaction — Ford and Stellantis warn of reduced UK investment if margins are compressed; risk of plant closures. - Supply-side effects — transition to EV manufacturing changes the skills mix in the UK auto sector; risk of structural unemployment in traditional engine-making. - Macro impact — higher EV penetration reduces oil imports, improving the current account and energy security. - Monetary policy effects — cheaper EVs help disinflation (car prices are a significant CPI component); but higher ICE prices may offset. - Environmental benefits — air quality improvement in urban areas (London ULEZ, Birmingham CAZ) provides positive externalities not captured by market prices. - Evaluation — impact depends on charging infrastructure rollout speed; without adequate infrastructure, mandate may not translate into real-world emission reductions. - Evaluation — global EV competition (Chinese manufacturers) could undermine UK automotive competitiveness if the industry cannot adapt fast enough. - Overall, the combined policy (removing subsidies + imposing quotas) is likely to accelerate transition without fiscal cost, but creates distributional tensions and near-term margin pressure on manufacturers.	(20)
Level	Mark	Descriptor
	0	A completely inaccurate response.

Question Number			Mark
Level 1	1–4	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted, but fail to connect causes and consequences. Limited attempt to address the question.	
Level 2	5–9	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.	
Level 3	10–15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and competing arguments are present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.	
Level 4	16–20	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen and fully integrated to support the argument, well developed and logical, coherent chains of reasoning, showing full understanding of the question. Arguments are fully developed and evaluated. A full awareness of the validity and significance of competing arguments, leading to nuanced and balanced comparisons, judgements or conclusions.	

Demonstrating application (AO2) in responses: Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Section C

Question Number		Mark
3	Knowledge/Understanding 4, Application 4, Analysis 6, Evaluation 6 Indicative content • Regulation addresses market failures — information asymmetry (range claims, battery health), external costs (battery disposal, supply chain emissions), and consumer-protection issues (charging reliability). • Reliability standards for rapid chargers (99%) address real consumer friction — raising EV adoption by reducing 'range anxiety'. • Price caps on public charging could reduce consumer exploitation — some motorway chargers cost over 8× home rates. • Battery regulation (carbon footprint, recyclability) addresses end-of-life externalities and long-run resource pressures. • ASA rulings against exaggerated range claims correct information failures — improving consumer confidence in EV purchases. • Standardised efficiency labelling (like fuel economy figures) improves transparency and supports informed choice. • However, price caps risk reducing infrastructure investment — operators face high fixed costs and long payback periods. If caps are too tight, rollout may slow. • Compliance costs raise consumer prices — battery regulation adds to manufacturing costs, potentially offsetting the affordability gains from Extract D. • Regulatory arbitrage — if UK rules diverge from EU, UK may become a 'dumping ground' for non-compliant vehicles or may lose access to EU market for UK-made vehicles. • Government failure risks — rules may be poorly designed (wrong caps, wrong definitions), and enforcement may lag rapid technological change. • International considerations — aligned standards (e.g. CCS charging, battery passport) enable scale and lower costs; fragmented standards raise consumer prices. • Barriers to entry — regulatory complexity (battery passport, testing, recyclability) favours large incumbents over smaller UK start-ups, potentially reducing competition. • Distributional impact — stronger regulation benefits risk-averse consumers (who gain confidence) but may raise prices for all consumers. • Environmental effectiveness — the net environmental gain depends on whether regulation genuinely reduces life-cycle emissions (battery production and disposal are significant). • Evaluation — proportionate, well-targeted regulation (reliability, advertising accuracy) likely produces welfare gains; blunt instruments (strict price caps, bans) risk deterring investment. • Evaluation — effective regulation requires coordinated action on infrastructure, vehicle standards and consumer protection; partial regulation may fail to unlock the market's potential. • Overall: increased regulation is likely to produce a net welfare gain provided it addresses genuine market failures without imposing disproportionate compliance costs or deterring investment in charging infrastructure.	(20)

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